Finance Minister Morarji Desai told Dillon that Chinese claims had been exaggerated. On a subsequent visit to Taiwan, Dillon, the under secretary of state, commented to Jiang that Indian concern about Chinese economic progress had diminished.[15]

American officials continued to be concerned about India's stability and comparative strength,[16] but they believed their Indian counterparts understood the internal threat and the need to contain or combat it.[17] That summer, Director of Central Intelligence Allen Dulles happily pointed out that the communist government in Kerala was serving as a negative example (changes in education policy had sparked agitation, which the government tried to quell with force). When Nehru got the Kerala government dismissed that July, it boosted his noncommunist credentials.[18] There was a sense that the communists' actions in Kerala, along with the Chinese crackdown in Tibet that had led the Dalai Lama to flee to India that spring, had facilitated Delhi's understanding of the ugly side of communism in general and China in particular.[19]

However, Washington did not just want to highlight communist failure; it also needed a successful democratic alternative. This meant continuing to strengthen India, one of the crucial "islands of development" in the free world. Discussions about the country's third five-year plan, which was scheduled to start in 1961, made clear that India envisioned over $20 billion of expenditure and would continue to need food aid as well.[20]

For Indian policymakers, a lot rode on American assistance. Nehru publicly continued to welcome aid.[21] Dutt particularly appreciated that the US was respecting the terms of previous agreements.[22] Indian embassy officials in Washington acknowledged the advocacy efforts of administration officials like John Foster Dulles and legislators like Cooper and Kennedy. Happily, they noted that even skeptics like Nixon had become converts to the cause of aiding India on a large and continuing basis. The vice president's "metamorphosis" left the embassy wondering whether the reason lay in his presidential ambitions. It suggested to them that "advocacy of increased economic aid to India is, in the current mental climate of the United States, a politically popular move."[23] More broadly, officials had realized that this support was because of the "race" with China. The military takeovers in Burma, Pakistan, and Thailand had made the democratic Indian contrast even more important.[24] Indian embassy officials